MECA NEWSLETTER

MEMBERS' COPY

JANUARY 2026

MONTHLY ROUND-UP

EMPLOYER'S INSIGHT

Many employers are currently navigating sensitive people decisions under increasing pressure, whether linked to prolonged performance issues, restructuring, or unresolved employee relations matters.

What we consistently see is that risk rarely arises at the point of decision, but at the point of explanation. Even substantively reasonable outcomes can unravel where expectations are poorly managed, while clear, progressive communication significantly reduces resistance and escalation risk.

WHAT EMPLOYERS ARE GETTING WRONG (THIS MONTH)

In recent advisory work, employers are often heavily focused on procedural compliance while underestimating how their actions are perceived by employees.

Policies may be followed correctly, yet risk arises where reasoning is unclear, inconsistently communicated, or poorly documented. This is especially evident in performance management and separation matters, where early discussions are framed as informal or exploratory, only for outcomes to later come as a surprise.

Effective IR risk management requires a clear, consistent narrative, alignment between words and records, and early expectation-setting as issues escalate.

ISSUE TO WATCH

MANAGING EXPECTATIONS BEFORE MANAGING OUTCOMES

An increasing number of employment disputes arise not from the outcome itself, but from misaligned expectations earlier in the employment relationship. Where issues are poorly framed at the outset, even reasonable decisions can escalate.

From an Industrial Court perspective, outcomes are assessed in context - not in isolation - making early clarity one of the most effective tools for reducing downstream risk.

FEBRUARY 2026

MECA IR Series Webinar

5th February 2026

MECA February Roundtable Session

11th February 2026

MEET YOUR MECA CONSULTANT

Astiqamah Abdullah
Senior Consultant
MECA

Q: What's the most common misconception employers have about industrial relations?

That doing things "by the book" automatically guarantees a safe outcome. In reality, how decisions are communicated, documented, and timed often matters just as much as the procedure itself.

Q: One thing employers usually realise too late?

That issues left unaddressed rarely disappear on their own. They tend to resurface at the most inconvenient moment - often when options are already limited.

Q: What's a question you find yourself answering most often?

"Can we still fix this?"
The answer is usually yes - but the solution depends heavily on how the situation has been handled up to that point.

Due Inquiry under Section 14 EA:

STOP TREATING DOMESTIC INQUIRY AS A ONE-SIZE-FITS-ALL RITUAL

In Industrial Relations practice, few terms are as frequently misunderstood — and as dangerously misapplied — as “due inquiry.”

Many employers, HR practitioners, and even some managers have been conditioned to believe that “due inquiry” automatically means a Domestic Inquiry (DI). This assumption has led to unnecessary procedural complications, prolonged disciplinary timelines, and in some cases, self-inflicted damage that weakens the employer’s position when the matter eventually lands before the Industrial Court.

If we want to practise disciplinary governance properly, we need to correct this misconception:-

A. Due inquiry does not necessarily mean Domestic Inquiry

Section 14 of the Employment Act 1955 (EA) provides an employer with the right to dismiss, downgrade, or impose other forms of disciplinary punishment, provided that due inquiry has been held. The legal intent behind this requirement is clear — disciplinary action must not be arbitrary, and the employee must be treated fairly.
However, what is often overlooked is that the law does not prescribe a single rigid mechanism to satisfy the requirement of "due inquiry." Instead, it emphasises the principles of fairness, the opportunity for the employee to respond, and an inquiry process that meets reasonable standards, rather than a ceremonial or automatic process merely labelled as a "Domestic Inquiry."

Due inquiry essentially means a fair investigation coupled with a genuine opportunity for the employee to respond before any disciplinary decision is made.

In practical terms, due inquiry is a process rather than a formal hearing. At its core, it involves proper fact-finding and investigation, followed by disclosure of the allegations to the employee, and providing the employee with a reasonable opportunity to respond.

Management must then genuinely consider the employee's explanation before arriving at a decision, which must ultimately be based on reasonable grounds and supported by evidence. Depending on the complexity and seriousness of the alleged misconduct, this requirement can be satisfied through several different forms, provided the process remains fair and defensible.

B. The Show Cause Letter Is Not "Punishment" — It Is an Investigation Step

One of the most persistent errors we see in organisations is that the show cause letter is treated as a "warning" or a final disciplinary step.

That is incorrect.

A show cause letter is fundamentally part of the investigation process and serves as a procedural bridge between the allegation and any eventual disciplinary action. Its purpose is to clearly communicate the allegation to the employee, disclose the relevant particulars surrounding the issue, and provide the employee with a proper opportunity to give an explanation before management reaches any conclusion or makes a final decision.

This is the critical point where the employer determines the appropriate direction of the case — whether the allegation is unsubstantiated and should be closed, whether counselling or minor corrective action is sufficient, or whether the matter warrants a stronger disciplinary response. In other words, the employee's right to answer and be heard begins at the show cause stage, and not only at the Domestic Inquiry stage.

C. Domestic Inquiry Is a Tool — Not a Mandatory Ritual

Domestic Inquiry is one method of satisfying the requirement of due inquiry, but it is not the only method. The key principle is that the employer must conduct a fair and reasonable inquiry process before deciding on disciplinary action, and the approach taken should be suited to the nature and complexity of the alleged misconduct.

A Domestic Inquiry becomes appropriate especially where the facts are disputed, where the credibility of witnesses is a key issue, where evidence must be tested, and where the alleged misconduct is serious such that termination is a likely outcome. In these circumstances, a DI serves as an important mechanism to establish the facts formally and demonstrate procedural fairness through a structured process.

However, in clear-cut cases — such as misconduct supported by documentary evidence, admissions, audit trails, CCTV footage, system logs, or written records — a DI may add little value. Worse, if mishandled, it can become a platform for the employee to exploit procedural weaknesses and create additional grounds of challenge. Therefore, management must ask a hard but necessary question:

Will a DI strengthen our case, or will it create new procedural vulnerabilities?

D. When Domestic Inquiry Helps

Domestic Inquiry is most helpful when there are multiple conflicting narratives that require clarification, where witness testimony is necessary to establish what truly happened, and where management needs a formal and structured record to demonstrate procedural fairness in handling the allegations. It is particularly useful in situations where the employee completely denies the allegations, making it essential for the employer to test credibility and evidence through a proper inquiry process.

In such circumstances, especially where the company anticipates that the matter may escalate to the Industrial Court, a Domestic Inquiry provides a defensible paper trail that supports the employer's decision-making and strengthens the company's position in the event of legal challenge.

A well-conducted Domestic Inquiry produces a structured and reliable record of the facts, supported by consistent handling and presentation of evidence throughout the proceedings. It also demonstrates documented fairness by showing that the employee was given a proper opportunity to be heard and to respond to the allegations in accordance with the principles of natural justice.

Most importantly, it allows management to test and assess credibility through the inquiry process, which can be crucial in establishing the legitimacy of the employer's decision, particularly if the dismissal is later challenged in the Industrial Court.

E. When Domestic Inquiry Can Harm

A Domestic Inquiry can become further damaging when the company is not ready and rushes into the process despite having a weak or incomplete case. It is also risky where the inquiry panel is not properly trained and ends up mishandling the procedure, where the charge sheet is defective or too vague, and where evidence is not properly produced, poorly managed, or inconsistent. The situation worsens when witnesses are unprepared and end up contradicting each other, or where documents disclosed during the process expose governance gaps that should have been addressed internally before escalating the matter into a formal inquiry.

In such circumstances, a Domestic Inquiry does not merely fail to strengthen the employer's case — it actively creates new vulnerabilities. Instead of reinforcing management's position, it becomes a platform for the employee to challenge the employer's credibility and procedure, particularly when mistakes occur in documentation, framing of charges, presentation of evidence, or the conduct of the hearing itself.

This then provides the employee's defence with additional attack points, including allegations of breach of natural justice, bias, defective charges, inconsistent punishment, procedural non-compliance, failure to furnish relevant documents, and denial of a fair hearing. Once these weaknesses are recorded in black and white, the employer may have unintentionally handed the employee a gift — ammunition for litigation — which can seriously undermine an otherwise justifiable disciplinary outcome.

F. Management's Real Duty: Choose the Right Process for the Right Case

Due inquiry is a compliance requirement, but the method adopted must be strategic rather than automatic. The employer must be able to demonstrate reasonableness, procedural fairness, that the employee was given an opportunity to be heard, and that any decision taken was grounded on evidence. Whether these standards are satisfied through a process of investigation, followed by a show cause letter and evaluation of the employee's explanation, or through investigation, show cause, and a full Domestic Inquiry, depends entirely on the profile of the case — including its complexity, seriousness, and the extent to which facts and credibility are disputed.

G.Thought Leadership Point: Good IR Is Not About Following Templates — It's About Risk Intelligence

A key failure on the part of employers is that most employers do not lose because the misconduct did not happen — they lose because they mishandled the process. A mature and well-governed disciplinary framework recognises that a show cause letter is part of the investigation process and not a form of punishment. It acknowledges that due inquiry is mandatory but a Domestic Inquiry is optional depending on the circumstances of the case, and that a DI should only be deployed when it strengthens the employer's defensibility rather than merely for optics or formality.

This is how an organisation is truly protected — not by adopting the "most formal" process in every case, but by applying the right process, and executing it correctly.

H.Conclusion: Due Inquiry Is About Defensibility

Section 14 of the Employment Act 1955 demands due inquiry because dismissal affects an employee's livelihood, and that requirement is fair. However, employers must stop confusing "due inquiry" with a fixed format or assuming it automatically requires a Domestic Inquiry in every case.

Due inquiry is satisfied when the organisation can demonstrate that it conducted an investigation, raised the allegations properly, gave the employee an opportunity to respond, listened to and considered the explanation, and ultimately made a decision grounded on evidence. A Domestic Inquiry can be a powerful tool — but only when used wisely and executed properly. When handled poorly, it does not protect the employer; instead, it can severely weaken and even destroy the employer's case.

CASE SPOTLIGHT

Flash Malaysia Express Sdn Bhd v Muhammad Firdaus bin Azmi [2025] CLJU 2930

BRIEF FACTS

This case arose from the dismissal of a branch supervisor who was accused of multiple acts of misconduct. The employer issued a show cause letter setting out three allegations: dishonesty, misuse of company property, and habitual late coming.

In response, the employee denied the allegations of dishonesty and misuse of company property but openly admitted to habitual lateness. Faced with this admission, the employer chose not to pursue the disputed allegations. Instead, the employer dismissed the employee without notice, relying solely on the admitted misconduct. No domestic inquiry was convened.

The employee subsequently brought a claim before the Labour Court, seeking payment in lieu of notice and termination benefits. The Labour Court found in the employee's favour, holding that the dismissal was procedurally flawed due to the absence of a domestic inquiry. Dissatisfied with this outcome, the employer appealed to the High Court.

COURT'S FINDINGS

The High Court overturned the Labour Court's decision and allowed the employer's appeal, holding that a domestic inquiry was not required in the circumstances of this case.

In interpreting section 14 of the Employment Act 1955, the Court reaffirmed that while an employer may dismiss an employee for misconduct without notice, this must be done after "due inquiry". Crucially, the Court clarified that "due inquiry" is not synonymous with a formal domestic inquiry in every case. Rather, it is a flexible concept that must be assessed in light of the facts.

Where an employee has been informed of the allegations, given a fair opportunity to respond, and has unequivocally admitted to the misconduct, there is no factual dispute left to investigate. In such situations, the Court held that convening a domestic inquiry would serve no practical purpose and would amount to an empty formality.

LABOUR COURT VS INDUSTRIAL COURT: DIFFERENT APPROACHES

This decision also highlights the differing perspectives adopted by the Labour Court and the Industrial Court in disciplinary matters.

The Labour Court, operating strictly within the framework of the Employment Act 1955, tends to adopt a more procedural and statutory approach. Claims before the Labour Court typically concern contractual or statutory entitlements, such as unpaid wages, payment in lieu of notice, or termination benefits. In misconduct cases, attention often centres on whether the employer has complied with the express requirement of a "due inquiry" under section 14. As a result, the presence or absence of a domestic inquiry is frequently treated as a decisive factor.

The Industrial Court, on the other hand, approaches dismissal disputes from a broader and more substantive perspective. In unfair dismissal claims, the central question is whether the dismissal was carried out "with just cause or excuse". As a court of equity and good conscience, the Industrial Court focuses on the merits of the case rather than technical procedural lapses. It has long recognised that a domestic inquiry is not an end in itself, and that any failure to conduct one can be cured by the Industrial Court's own inquiry into the facts.

The High Court's reasoning in this case effectively brings the Labour Court's approach closer to the well-established principles applied by the Industrial Court.

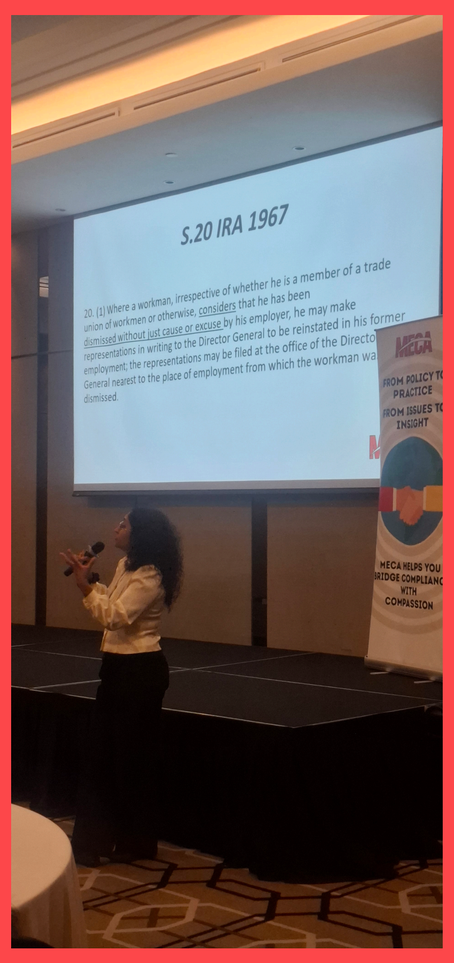
KEY TAKEAWAYS

This decision offers important guidance for employers dealing with misconduct issues:

- A "due inquiry" and a domestic inquiry are not the same thing.
- Where misconduct is clearly admitted, a domestic inquiry is not mandatory.
- While the Labour Court and Industrial Court may adopt different analytical frameworks, an employee's admission of misconduct is a critical factor in both forums.
- Employers must always observe procedural fairness, but the law does not require rigid adherence to formal processes that serve no substantive purpose once misconduct has been admitted.

For employers, the case reinforces a practical and balanced approach: fairness remains essential, but form should not prevail over substance where the facts are clear and undisputed.

JANUARY EVENT RECAP
MECA JANUARY ROUNDTABLE SESSION



Exit by Design: Leveraging MSA/MTA for HR Strategy and Legal Safety

Tuesday, 14 January 2026

The January Roundtable, Exit by Design: Leveraging MSA/MTA for HR Strategy and Legal Safety, explored the strategic use of Mutual Separation and Mutual Termination Agreements (MSA/MTA) in situations where continuation of employment is no longer viable or desirable.

The discussion examined how MSA/MTA can be approached as a considered and lawful exit mechanism, rather than a measure of last resort. Participants engaged in candid dialogue on when these tools may be appropriate, how conversations should be initiated, and why timing, leverage, and consistency of messaging play a critical role in managing legal and organisational risk.

Attention was also given to recent court and tribunal trends on enforceability, including how voluntariness and allegations of duress are assessed, and the extent to which decision-makers may look beyond the written agreement to the surrounding conduct and representations leading up to it.

The session highlighted common pitfalls that expose employers to risk, while emphasising the importance of managing employee expectations and emotional dynamics alongside legal considerations. Overall, the roundtable reinforced the need for employers to balance organisational objectives with fairness, wellbeing, and legal defensibility when navigating sensitive exit decisions.